

UNAUDITED GROUP RESULTS FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2021

The Directors of BOC Kenya Plc are pleased to announce the unaudited Group results for the six-month period ended 30 June 2021

**Summarised consolidated income statement
For the six-month period ended 30 June 2021**

	2021 KShs '000	2020 KShs '000
Revenue	696,179	442,569
Earnings before finance income and taxes	54,546	15,376
Net finance income	11,081	12,857
Profit before tax	65,627	28,233
Income tax expense	(27,351)	(13,659)
Profit for the year	38,276	14,574
Basic earnings per share	1.96	0.75

Dividend for the period
Interim declared

1.50 Nil

**Summarised consolidated statement of cash flows
For the six-month period ended 30 June 2021**

	2021 KShs'000	2020 KShs'000
Cash generated from operations	98,117	(19,759)
Tax paid	(19,241)	(4,841)
Net cash from operating activities	78,876	(24,600)
Cash received/(used) in investing activities	208,580	182,771
Net interest received	10,081	12,666
Increase/(decrease) in cash and cash equivalents	297,537	170,837
At beginning of the period	315,498	37,980
Net increase/(decrease)	297,537	170,837
Effect of exchange rates	272	2,139
At the end of the period	613,307	210,956

**Summarised consolidated statement of financial position
As at 30 June 2021**

	2021 KShs '000	2020 KShs '000
ASSETS		
Non-current assets	901,154	855,115
Current assets	1,253,358	1,052,813
Total assets	2,154,512	1,907,928
EQUITY AND LIABILITIES		
Share capital	97,627	97,627
Retained earnings	1,420,580	1,276,169
Capital and other reserves	127,430	72,175
Total equity	1,645,637	1,445,971
Non-current liabilities	8,820	7,441
Current liabilities	500,055	454,516
Total liabilities	508,875	454,516
Total equity and liabilities	2,154,512	1,907,928

**Summarised consolidated statement of changes in equity
For the six-month period ended 30 June 2021**

	2021 KShs'000	2020 KShs'000
At 1 January	1,607,568	1,439,390
Net profit for the year	38,276	14,574
Change in available for sale financial assets	(1,485)	4,158
Currency translation	1,278	419
Dividends	-	(12,570)
At 30 June	1,645,637	1,445,971

Overview:

Revenue, for the six-month period ended 30 June 2021 was up 57.3% compared to the same period of 2020 due to an increase in COVID-19 Medical Oxygen Volumes and medical gases infrastructure projects. Revenue from industrial gases was also up due to a general recovery in demand compared to the first six months of 2020 when a down-turn was experienced following the initial imposition of restrictive measures to contain the pandemic.

Profit after tax for the period is up 132% due to the increase in the revenue albeit profitability has been adversely impacted by incremental costs that the Company has borne and not passed to customers as it ensured availability of medical oxygen for healthcare customers during the ongoing pandemic.

The financial statements have been prepared based on the same accounting policies as the previous audited accounts.

Outlook:

The Company expects that the improved financial results of the first half of 2021 will be maintained in the second half. However, the volatility in Covid-induced demand for medical oxygen makes demand forecasting difficult but the Company is hopeful the pandemic will be brought under control as surges may have an adverse effect on the availability of oxygen for both medical and industrial applications.

Dividend:

The Board of directors has declared an interim dividend of Kshs 1.50 per share for the six-month period ended 30 June 2021 (Compared to 2020 when no interim was paid), to be paid out on or about 18 October 2021 to shareholders on the register at close of business on 24 September 2021.

This is on consideration that the Company is focusing on working capital management, including cash preservation as the pandemic has created cash flow pressures on business partners and may also give rise to higher cash requirements on the business as it seeks to meet longer-term customer needs, especially those on medical oxygen infrastructure projects. It is expected that by end of the financial year there will be greater clarity on these opportunities.

BY ORDER OF THE BOARD

RUTH NGOBI
COMPANY SECRETARY
BOC KENYA PLC

25 August 2021